Fig 2.8: *Transaction level rupee cost averaging for K S Oils*

Figure 2.8 shows how the average cost kept coming down as I purchased more and more on stock dips, thus utilizing the concept of Rupee Cost Averaging.

The moment I got a chance to sell at a handsome margin above the average cost price, I did so and returned with a handsome 124% CAGR (recall the CAGR and IRR formulae in the earlier sections).

Figure 2.9 below shows the calculation of CAGR/IRR for the above stock history.

Month	Investment	Action
JUN-11	-9937	**Buy**
JUL-11	0	No action
AUG-11	-39825	**Buy**
SEP-11	57269	*Sell*
Monthly IRR	**10.3%**	**Returns**
Annual IRR	**124%**	**Returns**

Fig 2.9: *CAGR / IRR Calculation for K S Oils*

Having explained the concept of Rupee Cost Averaging, let me also warn you that this strategy has to be carefully applied in case of stocks. Those who do not have a fair understanding of stock valuation should not try their hands by investing in stocks. Investing your hard earned money into a stock which is coming down and when the market mood is negative requires a very professional and long-term outlook. It is not feasible to do it with borrowed money or a faint heart. The purpose of the above example was just to explain you the power of Rupee Cost Averaging.

While one has to be vigilant in the stock market to exploit the benefits of Rupee Cost Averaging, the same concept is 'automatically' applied in case